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Subject: GLOBAL MARKETS CALL: Government Bond Yields Ease, Gold Falls
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YARDENI QUICKTAKES

GLOBAL MARKETS CALL: Government Bond Yields Ease, Gold Falls

By Ed Yardeni & Toby Hearst • 1 Nov 2026

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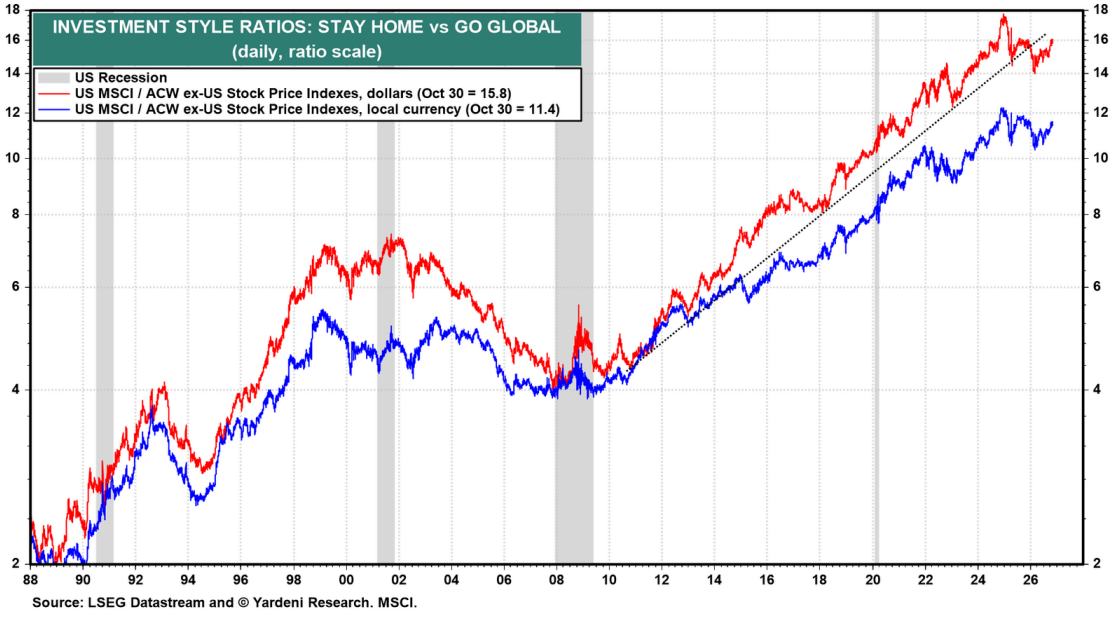


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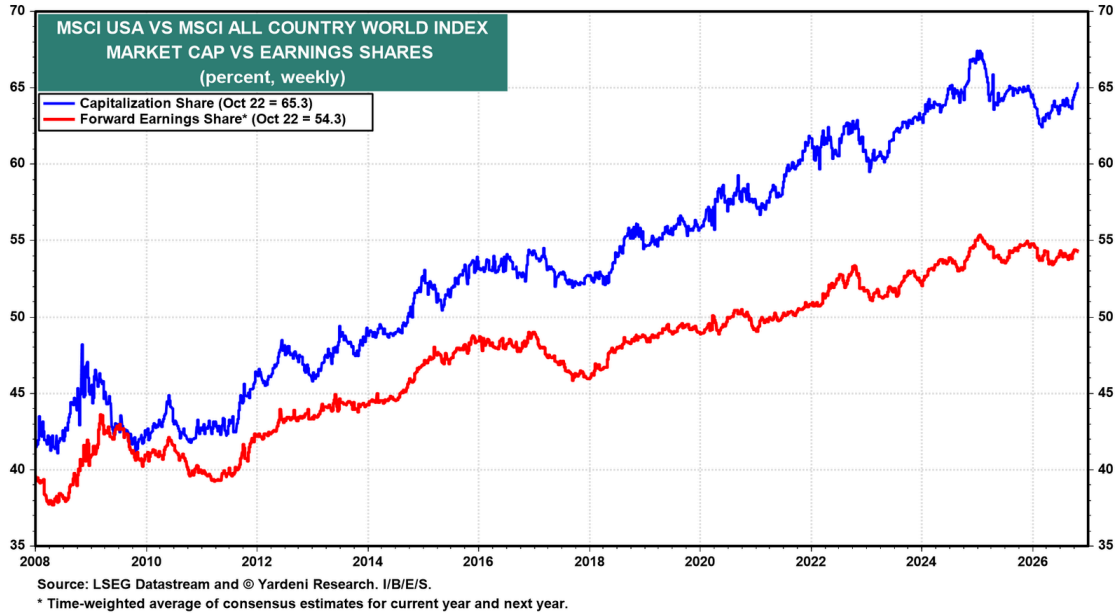
Investors sought safety in government bonds last week as the AI selloff rattled stock markets worldwide. Yields eased across most of the major bond markets. The stock market selloff has been hardest on the markets that soared the most this year. October is ending with the US well ahead of the rest of the world. That validates our recent shift to market weight on the Go Global portfolio strategy. Here's more:

I. Stock Market Performance

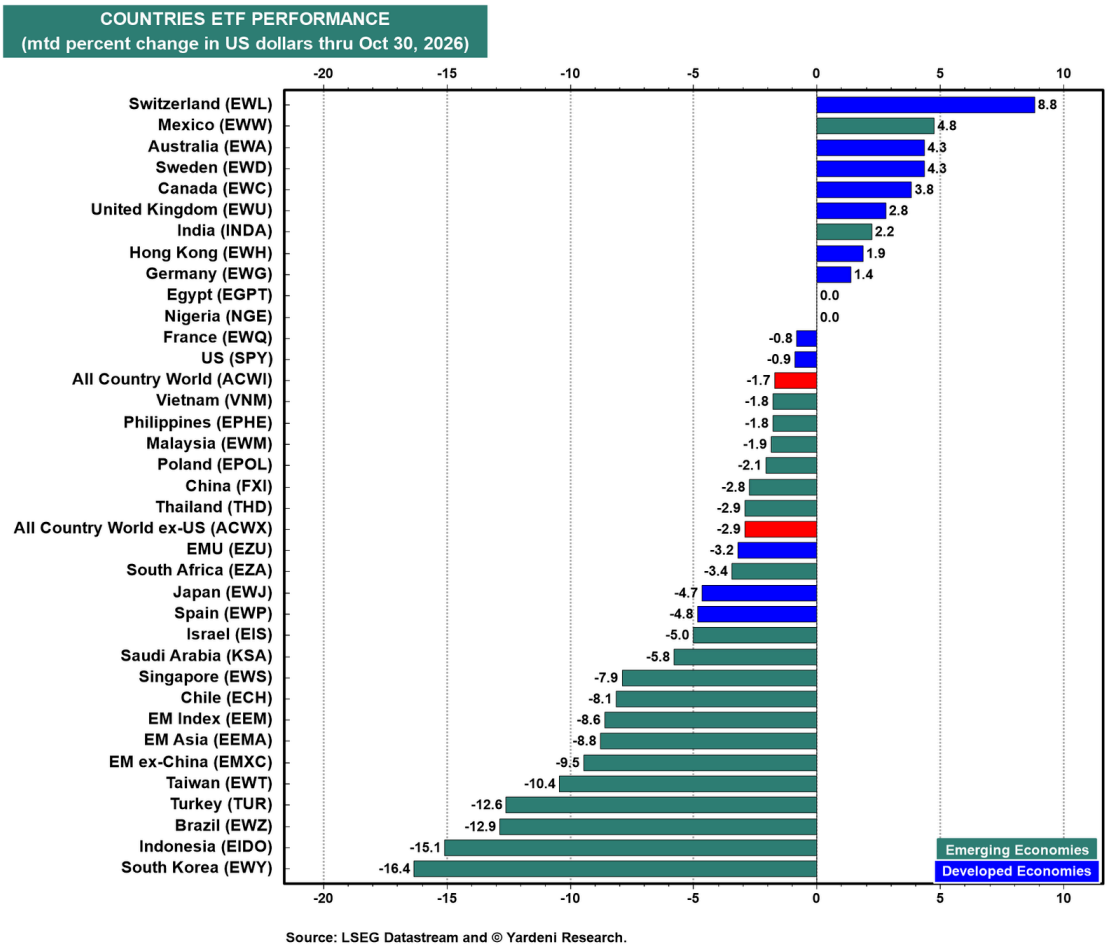
The Stay Home vs Go Global ratios have rebounded sharply since mid-year, driven by US outperformance (chart). They remain below their early 2025 peaks but are heading back up.



The US MSCI's share of the All Country World MSCI's market cap has risen back to 65.3% (chart). Its share of forward earnings is 54.3%. That 11-point gap is the widest since January 2025. US stocks again are pricing in far more than their share of global earnings.

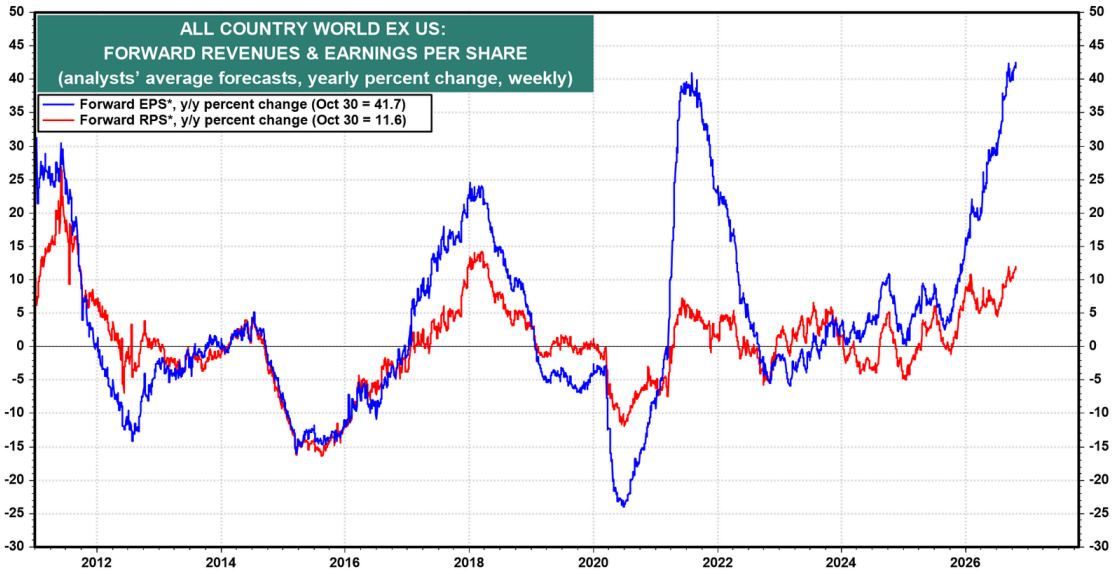


October's biggest losers were this year's AI winners. South Korea finished the month at the bottom of the country ETF rankings, down 16.4% in dollars (chart). Taiwan fell 10.4%. Switzerland topped the board with an 8.8% gain, followed by Mexico (4.8%). The US slipped 0.9%, while the All Country World ex-US ETF fell 2.9%.

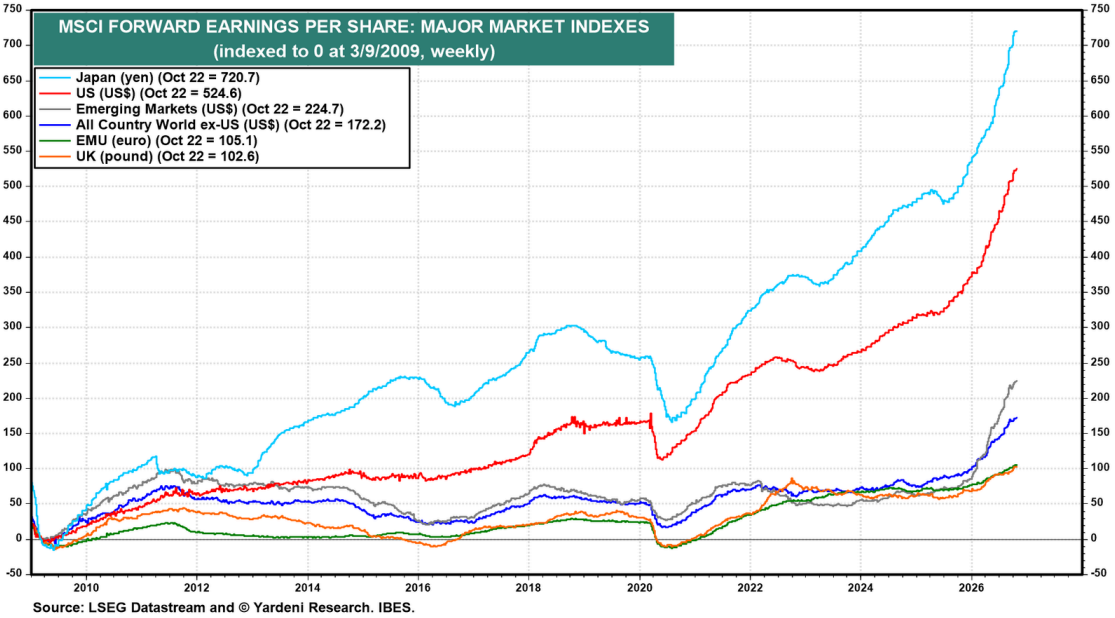


II. Stock Markets Earnings & Valuation

Overseas forward earnings momentum is the strongest in over 15 years. Forward earnings for the All Country World ex-US MSCI is up 41.7% y/y, topping its 2021 post-pandemic peak (chart). Forward revenues is up 11.6% y/y. Earnings outpacing revenues by that much implies forward profit margins are widening significantly.

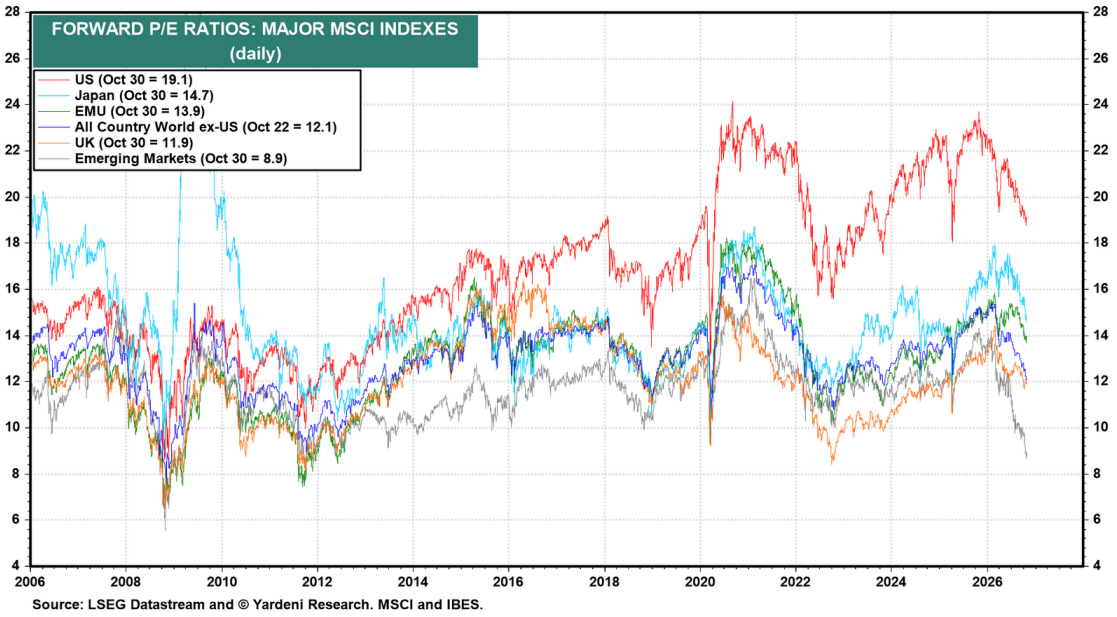


Japan leads the major markets in forward earnings growth since early 2009 (chart). Its forward earnings has risen 720.7% in yen. The US is up 524.6%. EM forward earnings has surged this year and is now up 224.7% over the same period. The EMU and the UK have barely doubled.



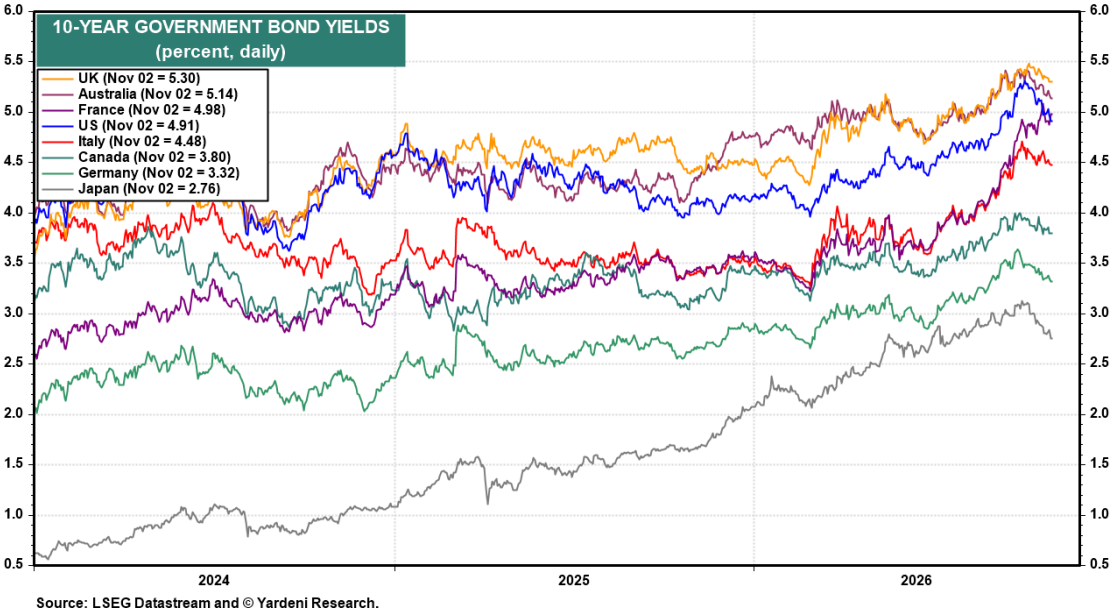
Valuation multiples are falling even as earnings soar (chart). The US MSCI's forward P/E has dropped to 19.1 from 23.7 a year ago. Japan's is

14.7, and the EMU's is 13.9. The UK trades at 11.9. EM trades at 8.9, its lowest since the 2008 financial crisis.



III. Fixed Income

Government bond yields eased last week in most major markets in response to the AI selloff (chart). The US 10-year Treasury yield has fallen to 4.91% from 5.00% a week earlier. France's 10-year government bond yield has eased to 4.98%. The UK's 5.30% and Australia's 5.14% remain the highest in the group. Japan's yield has dropped to 2.76%.



IV. Gold

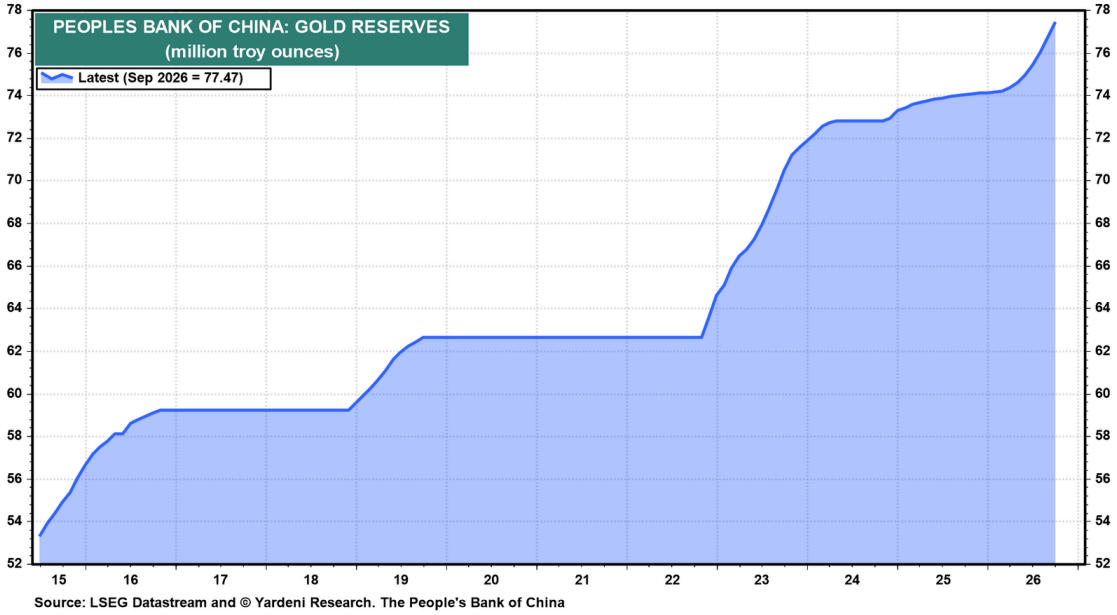
We've been bullish on the gold price since it jumped to a new record high above $2,000 per ounce in early 2024. We reckoned that buying by the

central banks of countries that feared the US and Europe might freeze their forex reserves, as happened to Russia after it invaded Ukraine, which would be bullish for gold. That was true until the war started in the Middle East on February 28, 2026 (chart).

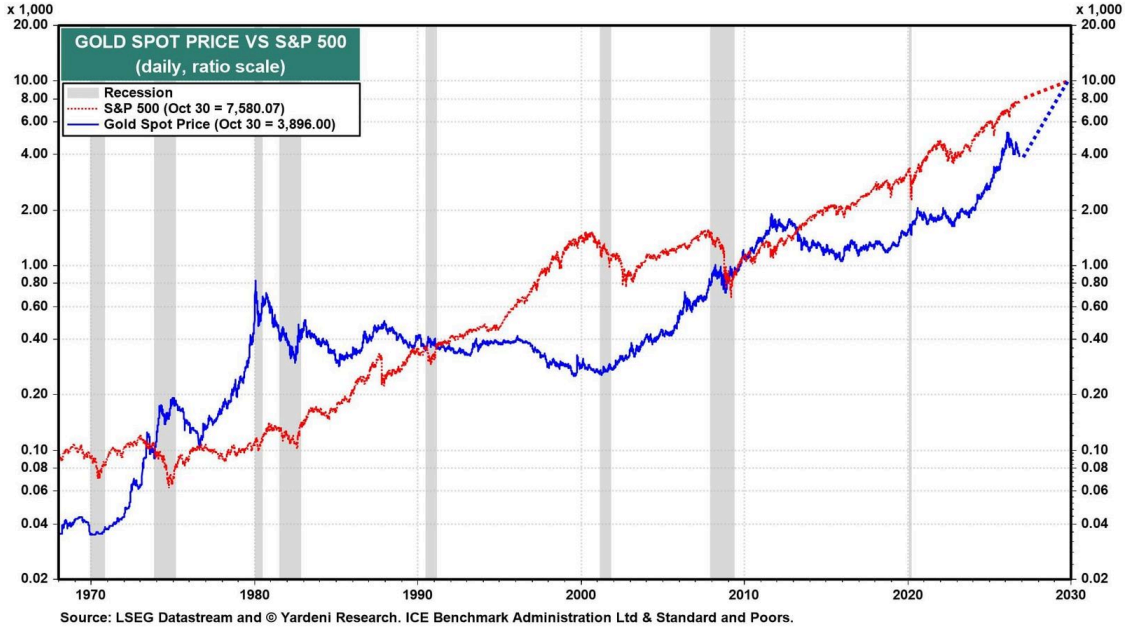
We aren't sure why gold hasn't bounced off of its key support levels. Instead, it dropped back below $4,000 last week. The next support is around $3,400. Rising interest rates may explain why gold has been so weak if central bank buying is being swamped by selling from private investors.



The People's Bank of China is still buying gold (chart). Chinese investors have lost lots of money in their property and stock markets. Now, they may be bailing out of gold.

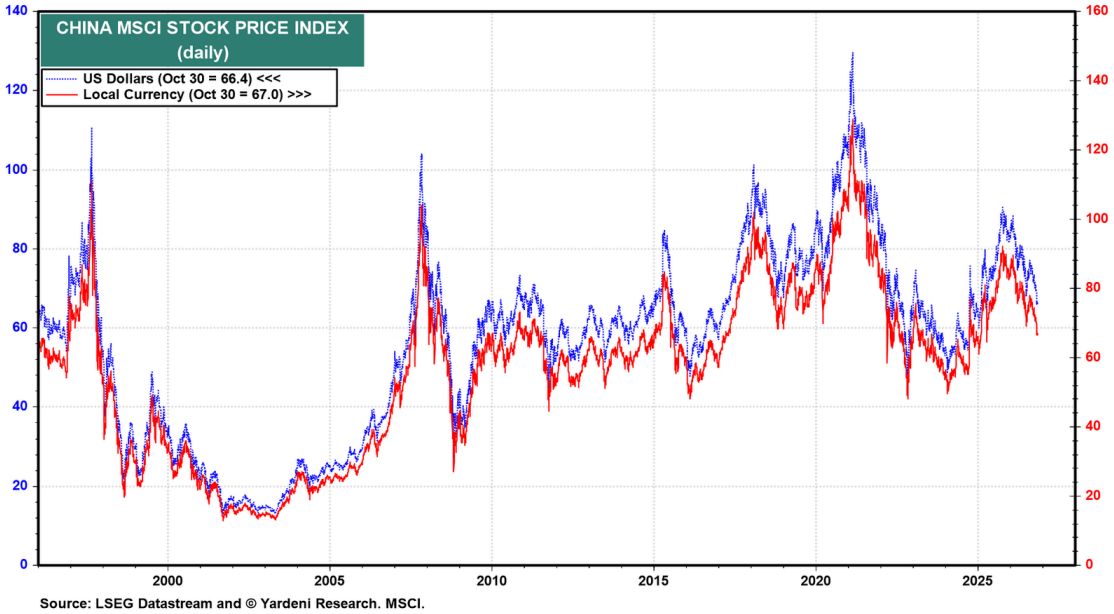


Is there still a case for gold to reach a price of $10,000 per ounce by the end of the decade? Yes, but the case is getting weaker. If the S&P 500 reaches 10,000 by the end of the decade, investors might rebalance their portfolios by allocating more to gold (chart).

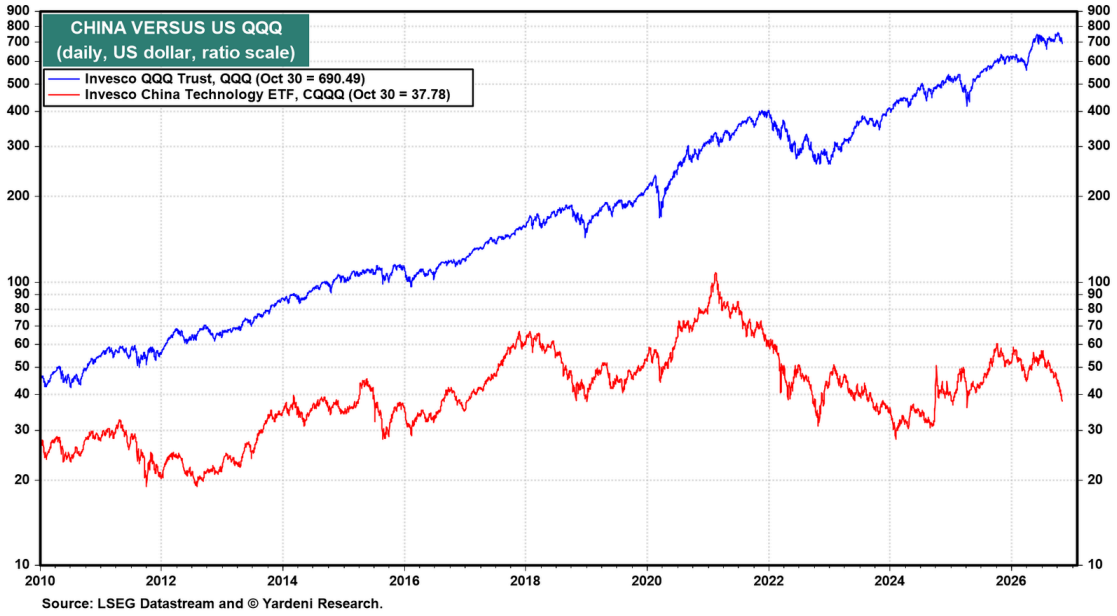


V. Focus On China & Brazil

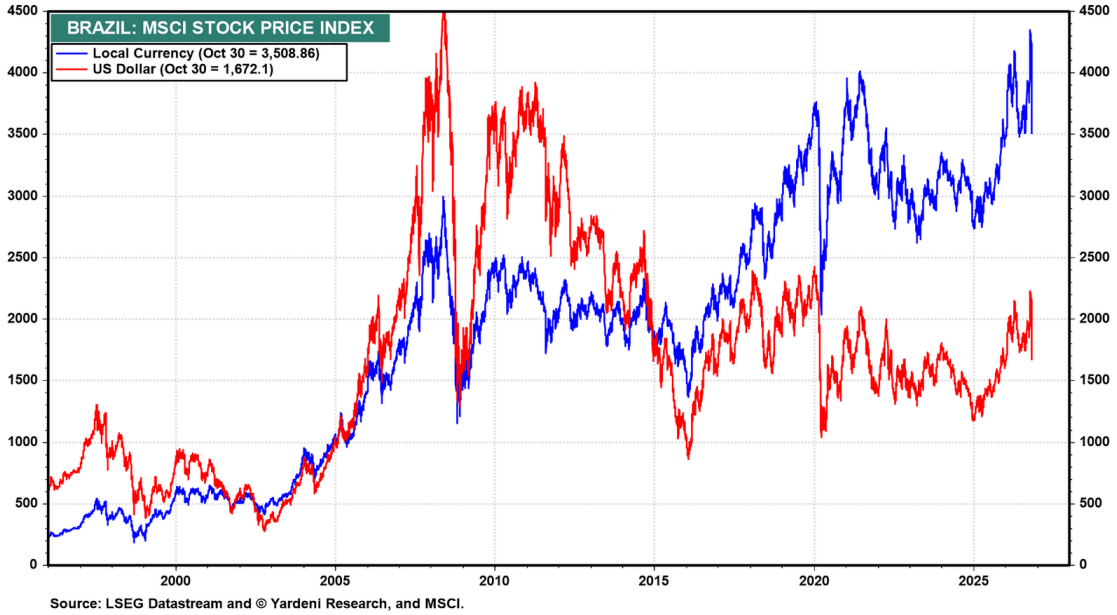
China's MSCI stock price index has fallen to 66.4 in dollars, down from 92.0 at its 2025 high (chart). The property bust and deflation continue to weigh on the market. So does the rapidly aging population.



Chinese tech has missed the AI boom entirely (chart). The China Technology ETF (CQQQ) has fallen to 37.78, 65.2% below its February 2021 record high. The Nasdaq-100 ETF (QQQ) is 9.5% below its record high. We continue to favor EM ex-China over China.



In Brazil, President Luiz Inácio Lula da Silva won the October 25 runoff with nearly 52% of valid votes after trailing Senator Flávio Bolsonaro in the first round. Investors had positioned for a Bolsonaro win, and Bolsonaro says he will challenge the result in court. The Brazil MSCI stock price index fell to 3,508.86 in local currency, giving back most of its post-first-round gains (chart). It is now up just 1.0% ytd in local currency and 2.2% in dollars.



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